

You have an offer. Now read it correctly.

A complete guide to evaluating, negotiating, and deciding — from the moment the offer arrives to the moment you sign. What to look for, what most candidates miss, and when to stop negotiating.

IF YOU TAKE NOTHING ELSE AWAY FROM THIS GUIDE

The six things that matter most

- Don't respond within 24 hours. Acknowledge receipt, give a return date, then evaluate carefully.
- The number on the offer letter is not your compensation. Calculate total comp: base + bonus history + equity + benefits.
- Establish your floor before you read the offer — not after. Candidates who don't accept below it.
- Negotiate by phone, not email. Sequence matters: lead with your primary ask, have a secondary ready.
- Know when to stop. Continuing past the right moment damages a relationship worth more than the delta.
- Give notice only after the signed letter is in your hands. Not before.

The gap between what most candidates accept and what they could have negotiated is routinely \$15,000–\$50,000 in first-year compensation.

A 2021 Fidelity survey found that 58% of candidates who negotiated received a higher offer. Salary.com found the average base increase when negotiation occurred at the senior level was \$5,000 — on top of whatever improvements were secured in equity, bonus, and benefits. The candidates who didn't negotiate left that money on the table by default.

More expensive than not negotiating is accepting the wrong role because the search was exhausting. Average tenure of a mis-hired executive: 18 months. That means another search. Four more weeks of searching is almost always cheaper than the wrong offer.

58%

of candidates who negotiate receive a higher offer

Fidelity Investments Survey, 2021

85%

of employers say negotiating did not negatively affect their view of the candidate

Fidelity Investments Survey, 2021

STEP 1 — THE FIRST 24 HOURS

Before you evaluate a single number

Do not respond within 24 hours

Responding immediately signals either that you haven't evaluated carefully or that you're operating from urgency. Acknowledge receipt with a specific return date: "Thank you — I'm very interested and I'll come back to you by [date]." That is the entire first response. Do not share initial reactions, ask questions, or begin negotiating.

Establish your floor before opening the offer

Write down two numbers before you read it: your floor (below which you won't accept under any circumstances) and your target. Candidates who haven't established a floor negotiate against themselves — adjusting expectations downward to meet the number they just read. The time to decide your minimum is before you want the job.

Know the market before you evaluate their offer

Your assessment is only as good as your data. Use Levels.fyi for technology functions, Glassdoor/Payscale/LinkedIn Salary for broader markets, and direct peer conversations for the most accurate current data. The error most candidates make: using their previous salary as the benchmark instead of what the market pays for this role at this level.

Compensation databases lag the market by 12-18 months. In fast-moving markets, real-time peer conversations are more reliable than published figures.

STEP 2 — TOTAL COMPENSATION

The number on the letter is not your compensation

Total compensation for a senior professional typically includes components that add or subtract 20-60% from the headline base salary. Evaluate each one specifically before forming any impression of the offer.

Component	What to evaluate	What to ask
Base salary	At, above, or below market for this role, level, and geography? Use current data, not your prior comp as the benchmark.	Levels.fyi, Glassdoor, peer conversations
Target bonus	The stated target is not the payout history. A 20% target that pays 10% is different from one that pays 20%.	"What was the average actual payout as % of target over the last 3 years?"
Equity / RSUs	4-year vest, 1-year cliff is standard. For private companies: understand the preference stack and 409A. Equity in a company with no clear liquidity path is worth less than the stated number.	"If acquired tomorrow at current valuation, what would my equity be worth after preferences?"
Sign-on bonus	Almost all have clawback provisions. Read the exact clause. A sign-on you must repay if you leave in year one is compensation you don't actually have yet.	"What are the exact clawback terms and when does the obligation fully expire?"
Health benefits	Employer vs. employee premium split matters significantly. Calculate your actual annual out-of-pocket premium cost — not just what's covered.	Request the benefits summary document before you accept.
PTO	Unlimited PTO policies result in less average vacation than fixed policies in most companies (Project: Time Off research). What people actually take matters more than what the policy says.	"What is the average vacation actually taken at this level on your team?"
401k match	Vesting schedule matters as much as match rate. A 4% match that vests over 4 years is worth less than one that vests immediately — especially if you leave in year two.	"What is the vesting schedule for the 401k match?"
Severance	What happens if you're terminated without cause in the first 12 months? This is negotiable before you accept. It is not negotiable after.	"Is there a severance provision if I'm terminated without cause in the first year?"

THE CALCULATION MOST CANDIDATES SKIP

Add: base + expected bonus (at historical payout rate) + annualized equity (conservative estimate) + employer health premium savings. That is your actual total annual compensation. Compare it to your prior role on the same basis. Base-to-base comparisons routinely hide differences of \$30,000-\$80,000 in total package.

NEXTCHAPTER TOOL

Victoria's Offer Analysis walks you through total compensation calculation, flags unusual clauses, and surfaces the questions you should ask — framed as information, not advice. She explicitly identifies which items are typically non-negotiable so you don't waste goodwill on them.

STEP 3 — WHAT THE LETTER SHOULD CONTAIN

What most candidates don't read carefully enough

Role definition and reporting structure

Your title, the function or team you lead, and who you report to — in writing. If the reporting structure changed between interviews and the offer letter, surface it now. Reporting structure changes between offer and start date are a yellow flag requiring a direct conversation before you sign.

Non-compete clauses

Enforceability varies dramatically by state — California, North Dakota, and Minnesota largely don't enforce them; others do broadly. Scope, duration, and geography all matter. A non-compete that prohibits working in your industry for two years across the US is different from one that prohibits working for three named competitors for six months. Narrow them before you sign.

If you're in California: a non-compete is largely unenforceable but may still create legal friction worth avoiding. Get counsel if the clause is broad.

IP assignment clause

Standard language assigns company ownership of work created during employment. Some clauses are written broadly enough to include work done on personal time with personal equipment unrelated to the company's business. If you have a consulting practice, board seat, advisory role, or prior IP, add a written carve-out before you sign. This cannot be added after the fact without reopening the negotiation.

Verbal commitments not in the letter

Commitments made during interviews — about team size, budget authority, remote flexibility, title changes at six months — do not survive a management transition unless they're in writing. Ask for written confirmation of any material verbal commitment. A company with good intentions will confirm it without friction.

At-will employment and severance

Most US offers are at-will. This is standard. What matters is whether there are protective provisions: defined severance if terminated without cause, or a required notice period. For roles above VP level, asking for 3-6 months' severance if terminated without cause within the first 12-18 months is reasonable and often accepted at the offer stage — and nearly impossible to add afterward.

STEP 4 — THE NEGOTIATION

The sequence, the scripts, and when to stop

Negotiating is expected. The sequence matters: don't negotiate every item simultaneously. Lead with your most important ask. Reach resolution before moving to the next item. A candidate who opens with five concerns signals either no priorities or that they'll be difficult to work with.

What's typically non-negotiable: Base salary at funded startups (often on a leveling grid), equity grants at public companies (follow HR bands), healthcare plan selection (everyone gets the same options). Don't spend your goodwill here. Put it toward sign-on bonus, equity cliff acceleration, severance provisions, and start date — where there is genuine flexibility.

01 Negotiate by phone — not email

Phone gives you tone, real-time response, and the ability to read the conversation. Email removes all of that. Send a brief note: "I've reviewed the offer and I'm very interested. I have a few questions — do you have 15 minutes?" Email negotiation is a last resort, not a first move.

02 Open with genuine interest, then your one ask

Never open a negotiation with a complaint or a list. Open with genuine interest, then name your primary concern specifically. Vague dissatisfaction ("I was hoping for more") produces vague responses. Specific asks produce specific answers.

03 Have a secondary target ready before the call

When the primary ask is declined, move immediately to the secondary: sign-on bonus, additional equity, earlier review date, extra week of PTO. Candidates who have no secondary either accept or walk away. Candidates with a secondary almost always find something.

04 Know when to stop

There is a point where continuing damages the relationship more than the incremental gain is worth. When you've received movement on your primary ask and reasonable answers on secondary items — stop. The candidate who closes gracefully begins the relationship well. The one who negotiates five rounds over small items begins it differently.

WHEN THE OFFER IS BELOW YOUR TARGET

"I'm genuinely excited about this role and I want to make this work. Based on my research on comparable roles at this level in this market, I was targeting something closer to [X]. Is there flexibility to get there?"

Reference the market — not your personal need, not your previous salary.

WHEN THEY SAY THE BASE IS FIXED

"I understand — I appreciate you being direct. Is there flexibility on the sign-on bonus to bridge the gap? Or on the equity grant?"

Have this ready before the call. Candidates who pause at this moment look unprepared.

WHEN THEY PUSH YOU FOR A NUMBER FIRST

"I've been intentional about not anchoring before I understood the full scope of the role. Based on everything I know now, I'm targeting [X], which reflects what this role requires and what I bring to it."

If pressed repeatedly: give the number. Refusing after three asks reads as evasive, not strategic.

WHEN YOU'RE READY TO ACCEPT

"I've reviewed everything carefully and I'm ready to accept. One small request before I sign: [specific item]. If that works, I'm ready to move forward."

Always ask for something small at close — it signals you read the offer thoroughly. Then stop.

WHAT NOT TO DO

Don't use a competing offer unless you have one and are genuinely willing to take it. Bluffing is a relationship-ending move if discovered. Recruiters verify.

Don't apologize for negotiating. "I'm sorry to push on this" signals you don't believe the ask is reasonable. You do. Drop the apology.

Don't negotiate against yourself. If they counter below your ask, don't immediately come down to meet them. Hold your position for at least one exchange.

Don't let deadline pressure force a decision. "We need an answer by Friday" is usually a soft deadline. If you need until Monday to make a confident decision, ask: "I need until Monday to give you a clear yes — is that workable?" The answer is usually yes.

STEP 5 — THE MISTAKES

What people wish they'd done differently

- ✗ **Comparing base to base.** Total compensation differences of \$40,000+ are routinely invisible when only base salaries are compared. Always calculate total comp on both sides of the comparison.
- ✗ **Not reading the non-compete until after signing.** It is easy to negotiate before you sign. It is very difficult after. Read it before you accept regardless of how attractive the rest of the offer is.
- ✗ **Not briefing references before the check.** References called without preparation give generic answers. Briefed references give specific ones. The candidate controls this entirely.
- ✗ **Accepting on a Friday after a hard week.** Offer decisions made under exhaustion or emotional relief are disproportionately likely to be regretted. If you received the offer at the end of a difficult week, wait until Monday. Your judgment will be different.
- ✗ **Treating equity at face value.** Private company equity valuations are speculative. Preference stacks and dilution can reduce an equity grant substantially from its stated value. Ask what your equity would be worth in an acquisition at the current valuation, after preferences.

- ✗ **Not asking what happened to the last person in the role.** Whether they were promoted, left voluntarily, or were let go tells you more about the role than any job description. Ask before you accept.
- ✗ **Giving notice before the signed offer letter arrives.** Verbal acceptances are not signed offer letters. Offers are occasionally rescinded. Give notice only after the signed document is in your hands.

STEP 6 — THE DECISION

Accept, negotiate further, or decline

Before signing, answer honestly: "In 12 months, will I be proud of this decision — or relieved the search is over?" Financial pressure, exhaustion, and offer excitement all distort this question. Answer it when you're calm.

Accept if

- Total comp is at or above your established target
- Role matches what was described in interviews
- You'd grow under this manager
- Company's financial position is sound
- You negotiated and feel good about the result
- You'd regret turning it down in 12 months

Pause and ask more questions if

- Role scope changed from interviews without explanation
- Reporting structure is different than discussed
- Equity terms are opaque or unsatisfactory
- They pressured you to decide in under 24 hours
- You haven't spoken to anyone on the actual team
- Something feels wrong and you can't name it yet

WHEN ACCEPTING BELOW YOUR TARGET IS THE RIGHT CALL

Not every gap between an offer and your target is a reason to decline. Accept below your target when: the total compensation is within a range you can genuinely live with; the role, manager, and company are right in ways that matter for your next five years; and you've decided to accept — not because the search tired you out, but because you made a clear-eyed evaluation.

NEXTCHAPTER TOOL

Victoria's Offer Analysis walks through total compensation calculation, flags unusual terms, and helps you prepare specific questions for your negotiation call — without making the decision for you. Available at launchournextchapter.com

AFTER YOU ACCEPT

Give notice only after the signed offer letter is in your hands. Verbal acceptance is not a signed document. Offers are occasionally rescinded.

Give appropriate notice — two weeks minimum, four weeks for senior roles. The way you leave is the story told about you in your professional community for years.

On your last day: document what you own, transition key relationships, return equipment. These are small gestures remembered longer than you'd expect.